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Last week: DJIA 48892.47 ▼ 206.24 0.42% NASDAQ 23461.82 ▼ 0.2% STOXX 600 611.00 ▲ 0.4% 10-YR. TREASURY ▼ 1/32, yield 4.240% OIL \$65.21 ▲ \$4.14 EURO \$1.1851 YEN 154.78

What's News

Business & Finance

- ◆ **Apple's normally** generous profit margins will face pressure this year, analysts said, as artificial-intelligence companies begin to outbid the iPhone maker in the race to secure components. **A1**
- ◆ **Trump joked during** a speech that he would sue Kevin Warsh, his nominee to chair the Fed, if he didn't lower interest rates. **A2**
- ◆ **Home buyers are** enjoying discounts at the highest rate in years, with about 62% of purchasers in 2025 securing a property below the original listing price. **A1**
- ◆ **Capgemini said it** would sell a division that does business with U.S. Immigration and Customs Enforcement after it was revealed that the company has a contract with the agency to help track immigrants. **B3**
- ◆ **Uber's food-delivery** business agreed to pay \$3.5 million in worker pay restitution and civil penalties as part of an order by the government of New York City. **B3**
- ◆ **Shares of Swatch** soared after the company reported an increase in sales after several months of declines and struck an overall buoyant tone for the current year. **B3**
- ◆ **UPS has generated** roughly \$3.5 billion in savings as it slims down, but its chief financial officer said the company still has to boost the profitability of its package deliveries. **B3**
- ◆ **LG Electronics fell** into the red after three profitable quarters, ending 2025 on a weak note amid sluggish demand recovery and rising business costs. **B4**

Worldwide

- ◆ **The House faces** a close vote to end a partial government shutdown this week, after Democrats pushing for sweeping changes to immigration enforcement signaled they wouldn't help the Republican majority pass any funding measures through the narrowly divided chamber. **A1**
- ◆ **A federal judge declined** to immediately halt the federal immigration enforcement surge in Minnesota, saying she lacked the authority to do so at this point. **A3**
- ◆ **A judge ordered the** release of a 5-year-old boy and his father who were detained by immigration officials in Minnesota, calling their treatment unconstitutional. **A3**
- ◆ **The Pentagon is** moving additional air defenses to the Middle East to better protect Israel, Arab allies and U.S. forces in the event that Iran retaliates against any American attack. **A1**
- ◆ **A state-level Democratic** win in a Texas region that voted for Trump by 17 points threatens to disappoint Republicans' hopes for the midterm elections. **A5**
- ◆ **The Justice Department** exposed the names of dozens of Jeffrey Epstein's victims, including many who haven't shared their identities publicly or were minors when they were abused by the sex offender. **A3**
- ◆ **The Rafah crossing** connecting Gaza to Egypt will open to Palestinians on Monday, marking the first time they can both enter and exit the enclave in more than two years. **A6**
- ◆ **Trump said the** John F. Kennedy Center for the Performing Arts will close for two years for renovations. **A2**

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Florida Does Battle With Winter to Save Crops



STEPHEN M. DONNELLO/ANDREW SERWINE/ASSOCIATED PRESS

TEMPERATURE SWING: Blueberry plants were intentionally sprinkled with water in Clermont, Fla., to form a protective ice layer and shield them from effects of cold weather. Farm workers on Sunday smashed excess ice to keep branches from breaking.

U.S. Readies for Iran Action, But More Air Defense Needed

Pentagon moves to protect Israel, Arab allies, its own forces if Tehran retaliates

President Trump's promised "armada" has arrived in the Middle East, headed by the USS Abraham Lincoln aircraft carrier battle group, and sophisticated F-35 jets have moved closer to the region. Trump has yet to say

whether and how he might use force. But American airstrikes on Iran aren't imminent, U.S. officials say, because the Pentagon is moving in additional air defenses to better protect Israel, Arab allies and U.S. forces in the event of a retaliation by Iran and a potential prolonged conflict.

The U.S. military could conduct limited airstrikes on Iran if the president were to order an attack today, U.S. officials said. But the kind of decisive

By Lara Seligman, Shelby Holliday and Michael R. Gordon

attack Trump has asked the military to prepare would likely prompt a proportional response from Iran, requiring the U.S. to have robust air defenses in place to protect Israel as well as American troops, the officials said.

The military has air defenses in the region, including

destroyers capable of shooting down aerial threats. But the Pentagon is deploying an additional Terminal High Altitude Area Defense, or Thaad, battery and Patriot air defenses to bases where U.S. troops are stationed across the Middle East, including Jordan, Kuwait, Bahrain, Saudi Arabia and Qatar, according to de-

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◆ **Youth bore the brunt of** Tehran's crackdown..... **A6**

Funding To End Shutdown Runs Into Pushback

House Democrats call for immigration changes before they would support deal

By OLIVIA BEAVERS

WASHINGTON—The House faces a close vote to end a partial government shutdown this week, after Democrats pushing for sweeping changes to immigration enforcement signaled they wouldn't help the Republican majority pass any funding measures through the narrowly divided chamber.

Speaker Mike Johnson, who holds a 218-213 majority, will need to keep almost all Republicans on board or risk the shutdown that started Saturday stretching deep into the week. The measure, endorsed by President Trump, funds swaths of the government for the rest of the fiscal year, while providing a two-week extension for the Department of Homeland Security—which contains immigration-enforcement agencies. The extension is intended to jump-start talks on reining in enforcement officials' practices.

"I'm very optimistic that we will get everyone back in town," Johnson (R., La.) said Sunday in an interview, referring to GOP lawmakers. "We will convince

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◆ **Standoff strains** Minneapolis services..... **A3**
◆ **Detained 5-year-old boy is** ordered released..... **A3**

Alcaraz Slams Djokovic

Carlos Alcaraz on Sunday became the youngest man ever to complete a career tennis Grand Slam after defeating Novak Djokovic in four sets in the men's singles final at the Australian Open championship in Melbourne. **A16**



AARON FAVILA/ASSOCIATED PRESS

Housing Market Is Shifting Back Toward an Advantage for Buyers

By NICOLE FRIEDMAN

Many home shoppers have given up on the depressed housing market, where sales are stuck at a 30-year low. But those buying are enjoying discounts at the highest rate in years.

About 62% of buyers last year purchased a home below the original listing price. That

was the highest proportion since 2019, according to a new analysis by the real-estate brokerage Redfin.

The average discount for the homes that sold below their original listing price was around 8%—the largest since 2012.

Buyers are also obtaining concessions from sellers, including cash that can be used

for closing costs or to buy down a buyer's mortgage rate.

The proliferation of discounts and incentives offer the latest evidence that the housing market is tilting back in the buyer's favor. From 2020 to 2022, it was a robust seller's market as rock-bottom mortgage rates attracted

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‘Spy Sheikh’ Bought Secret Stake In Trump Company

\$500 million for 49% of World Liberty came months before U.A.E. won AI chips

Four days before Donald Trump's inauguration last year, lieutenants to an Abu Dhabi royal secretly signed a deal with the Trump family to purchase a 49% stake in their fledgling cryptocurrency ven-

By Sam Kessler, Rebecca Ballhaus, Eliot Brown and Angus Berwick

ture for half a billion dollars, according to company documents and people familiar with the matter. The buyers would pay half up front, steering \$187 million to Trump family entities.

The deal with World Liberty Financial, which hasn't previously been reported, was signed by Eric Trump, the pres-

ident's son. At least \$31 million was also slated to flow to entities affiliated with the family of Steve Witkoff, a World Liberty co-founder who weeks earlier had been named U.S. envoy to the Middle East, the documents said.

The investment was backed by Sheikh Tahnoun bin Zayed Al Nahyan, an Abu Dhabi royal who has been pushing the U.S. for access to tightly guarded artificial intelligence chips, according to people familiar with the matter. Tahnoun—sometimes referred to as the "spy sheikh"—is brother to the United Arab Emirates' president, the government's national security adviser, as well as the leader of the oil-rich country's largest wealth fund. He over-

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INSIDE



BUSINESS & FINANCE
More Western critical-mineral mining companies are hiring retired generals. **B1**

PERSONAL JOURNAL
Some teenagers are turning to chatbots only as a last resort. **A11**

AI Boom Set to Erode Apple's Profit Margins

By ROLFE WINKLER AND YANG JIE

Apple has dominated the electronics supply chain for years. No more.

Artificial-intelligence companies are writing huge checks for chips, memory, specialized glass fiber and more, and they have begun to outduel Apple in the race to secure components. Suppliers accustomed to catering to Apple's every whim are gaining the leverage to demand that the iPhone maker pay more.

Apple's normally generous profit margins will face pressure this year, some analysts say, and consumers could

eventually feel the hit.

Chief Executive Tim Cook mentioned the problem in a Thursday earnings call, saying Apple was seeing constraints in its chip supplies and that memory prices were increasing significantly. Those comments appeared to weigh on Apple shares, which traded flat despite blowout iPhone sales and record company profit.

"Apple is getting squeezed for sure," said Sravan Kundojiala, who analyzes the industry for research firm SemiAnalysis.

AI chip leader Nvidia recently became the largest customer of Taiwan Semiconductor. **Please turn to page A4**